

BEFORE THE PUBLIC UTILITIES COMMISSION OF THE STATE OF CALIFORNIA

Application of Pacific Gas and Electric Company for Authority to Establish Its Authorized Cost of Capital for Utility Operations for 2023 and to Reset the Cost of Capital Adjustment Mechanism (U39M).

Application 22-04-008

And Related Matters.

Application 22-04-009
Application 22-04-011
Application 22-04-012

ORDER DENYING REHEARING OF DECISION 24-05-005

In this order, we dispose of the Application for Rehearing of Decision (D.) 24-05-005,¹ filed by Energy Producers and Users Coalition, Indicated Shippers, and The Utility Reform Network (collectively, Applicants). The allegations raised in the application for rehearing are without merit and time-barred, and the rehearing application is denied.

I. BACKGROUND

D.24-05-005 (Decision) denied the December 14, 2023 petition for modification (Petition) of D.22-12-031 (as modified by D.23-01-002), the Decision Addressing Test Year 2023 Cost of Capital for Pacific Gas and Electric Company, Southern California Edison, Southern California Gas Company and San Diego Gas & Electric Company (collectively, the Joint Utilities). The Petition was filed by Energy Producers and Users Coalition, Indicated Shippers, Federal Executive Agencies, The

¹ All citations to Commission decisions are to the official pdf versions which are available on the Commission's website at:
<http://docs.cpuc.ca.gov/DecisionsSearchForm.aspx>.

Utility Reform Network, Environmental Defense Fund, Wild Tree Foundation, and Walmart Inc. (collectively, Joint Parties).

The Commission established the Cost of Capital Mechanism (CCM) in D.08-05-035 in 2008, as a way for the Commission-adopted cost of capital (COC) to reasonably adjust, either upwards or downwards if market conditions change significantly between COC test year (TY) cycles, depending on the movement of interest rates. D.22-12-031, an earlier decision in this docket, considered changes to the CCM but deferred them to Phase 2. D.22-12-031 also reaffirmed D.08-05-035 by requiring the Joint Utilities to each file a COC application on a three-year cycle and providing two methods for adjusting the authorized costs of capital if conditions change significantly between applications. (D.08-05-035, pp. 15–16, 20–21 [Ordering Paragraph (OP) 1].)

The first method provides that the return on equity (ROE) may change during the three-year cycle based on the CCM adjustment, which operates as follows:

In any year where the difference between the current 12-month October through September average Moody's utility bond rates and the benchmark exceeds a 100-basis point trigger, an automatic adjustment to the utilities' ROE shall be made by an October 15 advice letter to become effective on January 1 of the next year

(Id., p. 21 [OP 2].)

Thus, if the CCM is triggered by the change in Moody's utility bond rates during the measurement period, then the ROE automatically adjusts the next year, without a full cost of capital proceeding, and the Joint Utilities must file a Tier 2 advice letter by October 15 that will result in a revised authorized rate of return effective January 1 of the following year. The adjustment mechanism represents a fair rate of return if the changes to the cost of equity approximately track increases or decreases in utility bond interest rates. (See D.23-11-046, p. 2.) If such a change occurs, the Joint Utilities' ROE is automatically adjusted by one-half the basis point difference from the benchmark. (D.08-05-035, p. 21 [OP 2, part a].)

The second method by which the utilities' ROE can change during the three-year cycle is for the Joint Utilities to file a cost of capital application outside the CCM process:

The utilities have a right to file a cost of capital application outside the CCM process upon an extraordinary or catastrophic event that materially impacts their respective cost of capital and/or capital structure and impacts them differently than the overall financial markets.

(D.08-05-035, p. 19 [Conclusion of Law 6].)

In D.22-12-031, the Commission established the TY 2023 COC for the utilities. At the same time, the Commission decided to continue the current CCM through the 2023 TY COC cycle. While there were some modifications and clarifications requested, parties generally supported the continuation of the CCM to protect against market volatility. (D.22-12-031, p. 42.) The Commission acknowledged potential value in reevaluating the CCM and stated it would do so in a second phase of this proceeding. (Id., p. 43.)

The CCM was triggered in September 2023 and the Joint Utilities filed their respective advice letters on October 13, 2023. Energy Division disposed of the CCM Advice Letters on December 22, 2023.

On December 14, 2023, Joint Parties filed the Petition asking to suspend the CCM through the TY 2023 COC cycle while modifications to the CCM are considered in Phase 2 of this proceeding. Joint Parties alleged that application of the CCM in 2024 would cost ratepayers \$587 million. On January 16, 2024, the Joint Utilities timely filed a response to the Petition. On May 16, 2024, the Commission issued the Decision denying the Petition. On June 17, 2024, Applicants filed an application for rehearing of the Decision. Joint Utilities filed a response in opposition to the application for rehearing on July 2, 2024.

We have carefully considered the application for rehearing of D.24-05-005 and have determined that the claims of legal error have no merit. In addition, the claims, which in fact challenge determinations made in D.22-12-031, are time-barred.

II. THE COMMISSION DID NOT ABUSE ITS DISCRETION OR COMMIT PREJUDICIAL ERROR IN ADOPTING CERTAIN FINDINGS.

An application for rehearing is not a vehicle for relitigating policy positions or to reweigh evidence, but rather to identify legal error. (Pub. Util. Code, § 1732; Cal. Code Regs., tit. 20, § 16.1, subd. (c).) The application for rehearing raises arguments previously rejected by the Commission in the Decision and seeks to relitigate the Commission's policy determinations by asking the Commission to reweigh the evidence.

In D.22-12-031, the Commission deferred its determination as to whether to modify or clarify the CCM to Phase 2 of the proceeding. No party, including Applicants, sought rehearing of that determination. Parties to Phase 2, including Applicants, have proposed major changes to the existing CCM methodologies. Phase 2 has now been fully briefed and a proposed decision was issued on September 10, 2024.

For a petition for modification to be granted, petitioners must show new or changed circumstances as justification. Here, a change in interest rates and the subsequent triggering of the automatic operation of the CCM was predictable and thus is not a new or changed fact or circumstance. The Commission determined that Joint Parties' evidence of interest rates forecasts did not justify suspending the CCM. Thus, Joint Parties' Petition was properly denied.

Applicants contend that in denying the Petition, the Commission abused its discretion in making Findings of Fact (FOF) 6, 7, 8, 11 and 12 and thus committed prejudicial error. Applicants assert precedent requires analyzing the underlying assumptions and whether the rates resulting from the CCM are fair and reasonable, and that the failure to conduct such a core inquiry is prejudicial error. (Rehg. App., p. 13.) In making this assertion, Applicants rely on prior decisions in which the Commission considered unopposed applications to suspend the CCM or off-cycle applications by utilities citing extraordinary circumstances. Neither case is presented by the Petition, and thus the Decision's denial of the Petition is not an abuse of the Commission's discretion. In this case, the CCM automatically triggered due to an increase in Moody's utility bond rates. Due to the automatic nature of the trigger, the Commission was not required to inquire into the underlying assumptions. Nonetheless, the Commission did in fact

analyze the Petition's arguments and evidence regarding the underlying assumptions and found that they were not persuasive. (Decision, p. 6.)

Applicants allege error in FOF 6, which finds that “[w]hether or not the CCM should trigger, or be suspended, does not hinge on whether market conditions could be deemed ‘transitory.’” Applicants contend that the affidavit attached to their Petition presents interest forecasts “showing that the sharp rise in interest rates over the October 2022 – September 2023 CCM trigger period had likely peaked, and that rates were expected to fall over 2024.” (Rehg. App., p. 11.) Applicants argue that evidence in the Petition shows that the CCM was triggered by transitory circumstances, “meaning the interest rate changes that triggered the increase were not indicative of longer-term trends,” and therefore, the Commission should have suspended the CCM pending the outcome of Phase 2 of the proceeding. (Ibid.)

The Decision notes that while Joint Parties do not precisely define “transitory” in their Petition, whether the CCM should trigger, or be suspended, does not hinge on the concept. (Decision, p. 5.) (The Decision defines “transitory” to mean that the triggering interest rate increase will only last a short time and then will quickly decrease.) (Ibid.) The Decision is correct. The CCM at issue here is an automatic mechanism, unlike the off-year applications filed by the utilities where the Commission considers whether circumstances are extraordinary or catastrophic. Applicants assert that the CCM only applies if the “underlying assumptions hold true,” citing D.22-11-018. However, D.22-11-018 is distinguishable since it concerned an off-cycle extraordinary and catastrophic event application by utilities, which is not the case here.

Further, as the Decision notes, even considering Joint Parties' interest rate forecasts (which it is not required to do given the automatic nature of the CCM), they are not “evidence that the triggering interest rate increases were ‘transitory,’ but only that forecasts show the interest rate increases have likely peaked and that interest rates could decrease by the end of 2024.” (Decision, pp. 5-6.) Based on this analysis, the Commission properly found that the interest rate forecasts were not persuasive evidence that the increases are “transitory.”

Applicants argue that the Commission suspended the CCM in D.09-10-016, D.16-02-019, and D.22-11-018 and to not do so here is arbitrary. (Rehg. App., pp. 14-15.) Applicants fail to note, however, that in D.09-10-016 all parties agreed that the upward trigger to the cost of capital should be avoided based on relevant circumstances at that time. In D.09-10-016 and again in D.16-02-019, the Commission relied on the uncontested nature of the applications to suspend the CCM. The Commission did not consider whether the interest rate increases were transitory in these decisions. D.22-11-018 is also inapposite since it resulted from an off-cycle application arising from the COVID-19 pandemic and its financial ramifications, an event the Commission found to be extraordinary and catastrophic. (Decision, p. 2.)

Applicants next attack FOF 7, which finds there is no language in D.22-12-031 and D.08-05-035 that either supports, requires, or allows for an examination of interest rate forecasts to affect the implementation of the CCM. Applicants claim that this finding cannot be reconciled with the Commission's explicit examination of interest rates in past decisions suspending the CCM. However, as noted above, past decisions suspending the CCM were either the result of uncontested applications filed jointly by utilities and ratepayer advocates or off-year applications by the utilities, but were not, as in the instant case, the result of non-utility parties alone asking for suspension of the CCM.. Thus, there is no merit to Applicants' assertion that the Commission found that interest rate forecasts are relevant when the utilities present such evidence, but not when non-utility parties present similar evidence, when the Commission has made no such finding.

Further, Applicants claim that the Commission's reliance on FOFs 6 and 7 is "an abuse of discretion that prejudices ratepayers by depriving them of the opportunity to raise a substantial challenge to the CCM's demonstrably excessive adjustments." (Rehg. App., p. 15.) This argument lacks merit since the mechanism operates automatically, adjusting upwards or downwards, regardless of whether utilities or ratepayers benefit. The Commission does not exercise any discretion as part of the CCM's automatic operation and thus cannot favor utilities over ratepayers or otherwise abuse its discretion.

Applicants allege that the Decision errs in finding (FOF 8) that “the relevant question is whether market conditions change significantly between cost of capital test year cycles, as specifically measured by’ interest [rate] changes.” (Rehg. App., p. 16.) Applicants claim that under D.22-11-018, the Commission must consider whether interest rate changes correlate with a change in the utilities’ cost of equity (citing D.22-12-018, p. 15) and evidence regarding utility stock price to earnings ratios (citing D.22-11-018, pp. 22-23). (Rehg. App., p. 16.) Applicants acknowledge that D.22-11-018 addresses an off-cycle application but claim the core inquiry is the same. (Rehg. App., p. 16). Applicants are mistaken. Given the automatic operation of the CCM, there is no “core inquiry” into underlying assumptions to be undertaken by the Commission as in the case of an off-cycle application.

Applicants also argue the Commission erred in adopting FOF 11 which states “[t]here is no language in the CCM Decisions that either supports, requires, or allows for an examination of dividend yields to affect the implementation of the CCM.” (Rehg. App., p. 16). This claim lacks merit. The Commission concluded that the use of dividend yields as a stand-in for the cost of equity is “questionable” since dividend yields are not equivalent to the cost of equity. (Decision, p. 7.) The Commission also rejected the Petition’s argument that equity costs have not changed in line with the debt costs during the trigger period and, therefore, the CCM mechanism should not apply. (Ibid.) The Commission found the comparison flawed and found that the dividend yield was unpersuasive as a proxy for cost of equity. (Ibid.) Even if dividend yields are considered, they increased during the relevant period, suggesting an increase in the cost of equity also occurred. (Decision, p. 7, citing to the Affidavit of Michael P. Gorman, pp. 7-8.) Thus, as the Commission stated, even Applicants’ own dividend yield analysis “suggests that the CCM is operating as intended” for 2024. (Decision, p. 7, citing D.08-05-035, FOF 16: “The purpose of an interest rate benchmark is to gauge changes in interest rates that also indicate changes in the equity costs of utilities.”) Thus, the Decision fully considered the Petition’s evidence and reasonably rejected it.

Finally, Applicants contend the Decision and FOF 12 preclude them “from challenging the CCM due to their failure to raise these arguments in Phase 1.” (Rehg.

App., p. 17.) This contention is incorrect. Both the Decision and FOF 12 simply note that Applicants did not make these arguments when they could have in Phase 1. (Decision, p. 8.) Applicants' claims of error relate to the determination in D.22-12-031 to leave the automatic operation of the CCM in place pending Phase 2 and could have been raised in an application for rehearing of D.22-12-031. To the extent Applicants argue that the Commission erred in D.22-12-031 by continuing the automatic CCM and providing for off-cycle applications for extraordinary circumstances only by utilities, those arguments are barred by Public Utilities Code section 1731. The Commission's determination in D.24-05-005 not to relitigate the operation of the CCM for the 2023-2024 cost of capital cycle was reasonable and appropriate. Declining to revisit how and under what circumstances the CCM triggers was a reasonable policy choice and denying the Petition does not constitute legal error.

In the proceedings leading up to D.22-12-031, no party, including the applicants for rehearing here, proposed eliminating the CCM or suspending its operation for 2024 or 2025. Thus, in D.22-12-031, the Commission "continue[d] the previously authorized cost of capital mechanism through the 2023 test year cycle." (D.22-12-031, p. 2.) The Commission stated that it would consider proposed modifications and clarifications to the CCM for future cost of capital cycles in Phase 2. (D.22-12-031, p. 43.) The Commission's determination in D.22-12-031 to defer consideration of changes to the CCM to Phase 2 of the proceeding was not timely challenged by Applicants or any other party in an application for rehearing of D.22-12-031. In Phase 2, Applicants and other parties have comprehensively litigated and briefed if and how the CCM should be modified or not. The proposed decision in Phase 2 was mailed on September 10, 2024.

In essence, Applicants' rehearing application challenges determinations made in D.08-05-035 and applied to the TY 2023 COC cycle in D.22-12-031. The time for seeking review of these prior Commission decisions has passed. (Pub. Util. Code § 1731, subd. (b)(1) (requiring a rehearing application to be filed within 30 days of the issuance of a Commission decision).) While Applicants may file a petition for modification of D.22-12-031, they may not then file an application for rehearing of the

denial of that petition as a vehicle to collaterally attack and claim legal errors in D.22-12-031 which should have been raised earlier per Public Utilities Code section 1731(b)(1). It is settled law that a petition for modification is not a substitute for the statutory requirement of timely filing an application for rehearing and does not operate to preserve the Applicants' right to challenge D.22-12-031's affirmation of D.08-05-035's CCM methodologies for the TY 2023 rate case cycle. (See *Northern California Assn. to Preserve Bodega Head & Harbor, Inc. v. Public Utilities Commission* (1964) 61 Cal.2d 126, 134-35; see also *Young v. Industrial Acc. Com.* (1944) 63 Cal.App.2d 286, 291-292; *Anchor Lighting v. Southern California Edison Co.* (2006) 142 Cal.App.4th 541, 552.) Thus, for both substantive and procedural reasons, the application for rehearing is denied.

III. CONCLUSION

For the reasons discussed above, rehearing of D.24-05-005 is denied.

Therefore, **IT IS ORDERED** that:

1. Rehearing of Decision 24-05-005 is denied.
2. This proceeding, Application 22-04-008 et al., remains open.

This order is effective today.

Dated October 17, 2024, at Sacramento, California.

ALICE REYNOLDS

President

DARCIE L. HOUCK

JOHN REYNOLDS

KAREN DOUGLAS

Commissioners

Commissioner Matthew Baker recused himself from this agenda item and was not part of the quorum in its consideration.